MBA 6520: Predictive Analytics University of San Francisco School of Management

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Group Case Study: BevZ Next Phase Roll Out Plan Analysis

I. Executive Summary

As BevZ moves into the next phase of their rollout plan, Team Optimystics has been brought on to help advise leadership on the best approach possible. Our ultimate goal is to help the company increase their sales and achieve significant market penetration in the energy drink sector and long-term growth. Team Optimystics evaluated two rollout strategies for scaling BevZ across retail stores: Tony's Plan, which emphasizes sales representative coverage and lower pricing, and the Marketing Plan, which prioritizes endcaps and in-store demos to support demand. The goal of this analysis is to determine which approach will generate stronger weekly revenue per store while supporting overall profitability as the company expands. After evaluating the historical test data and applying those findings to both rollout plans and also took into consideration that the plan of Marketing Plan has higher costs than Tony's plan, we recommend moving forward with the Marketing Plan because it significantly give a higher net profitability per store resulting in a net gain of approximately $238 per store per week compared to Tony's plan.

II. Problem Statement

Following the initial BevZ test phase, Team Optimystics evaluated how to scale the product across retail stores by analyzing these two contrasting approaches to driving performance. Leadership's primary decision centers on whether Tony's Plan or the Marketing Plan allows BevZ to invest at the store level to drive sales in a more effective way. While each path offers a compelling strategy, they each force BevZ to choose between critical tradeoffs that impact customer behavior. While Tony's Plan leans toward controlling costs and staffing stores, the Marketing Plan places more weight on increasing product visibility and customer interaction. Although investing less keeps costs down for BevZ, it also reduces how often customers encounter the product. Whereas, investing more increases exposure but raises the cost that each store must support. As BevZ scales across more stores, these tradeoffs become more meaningful. It becomes critical to determine which approach both meets customer needs while more effectively converts that investment into stronger revenue and profitability for the company.

III. Background and Insights from the Initial Product Testing

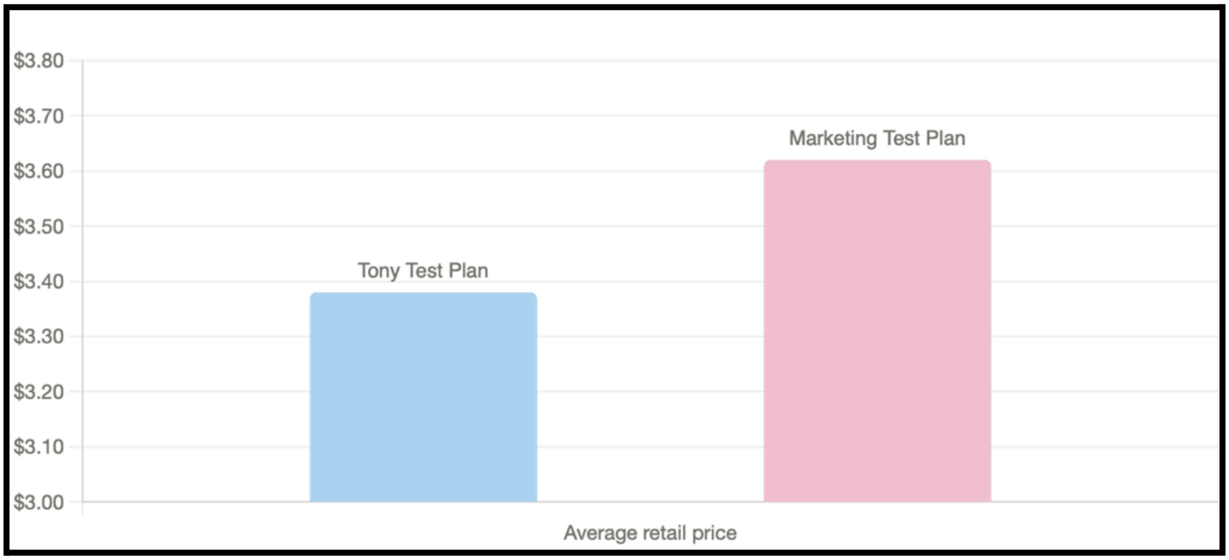
To ground our recommendation, Team Optimystics reviewed the initial test results to understand what actually drove BevZ sales at the store level and how those factors differed in their impact. What stood out most from that review was how much more influence in-store promotion had compared to other variables. Endcaps had the strongest effect by a wide margin, with stores that used endcap displays consistently selling significantly more units than those without, in many cases more than doubling unit sales. This reflects how important visibility is in shaping customer behavior, since making the product easier to notice and access directly increases the likelihood of purchase. Demos showed a similar pattern, though at a smaller scale, with stores running demos selling meaningfully more units, on average about 150 additional units compared to those without. That increase points to the role of product trial, where giving customers a chance to experience the product helps convert interest into a purchase. The impact of sales representatives was more limited. While stores with a representative did perform better than those without, the increase in unit sales was still smaller than what we see from endcaps and demos, at roughly 90 additional units on average (Appendix Table 1, p. 6). This suggests that staffing alone does not influence purchasing decisions to the same extent as visibility and trial. Price followed the expected pattern, with higher prices leading to lower unit sales, but the size of that effect remained smaller than the impact of in-store promotion. These results show that the factors most directly tied to how customers see and experience the product have the greatest influence on sales, which is important when evaluating how each rollout plan is structured.

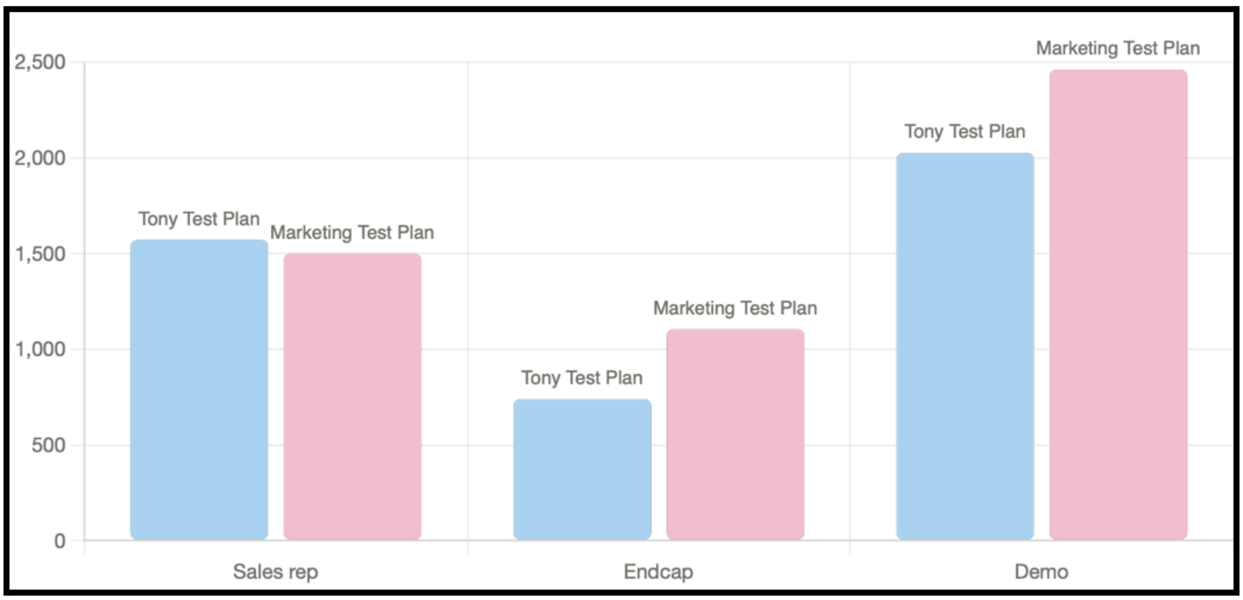
IV. Overview of the Prediction Model

To estimate how BevZ would perform under each rollout plan, Team Optimystics built a prediction model using the test data to understand how different in-store setups impact weekly unit sales. We began with a clear baseline, where stores with no in-store support averaged about 240 units per week, and then stepped through each setup the way a customer would encounter the product in-store, first looking at each strategy on its own and then how they show up together. When a demo was introduced, average sales increased to roughly 383 units, while adding an endcap had a much larger effect, bringing stores to about 501 units per week. What became clear in that progression was not just that both strategies help, but how differently they shape the experience, where the endcap makes the product easier to see and pick up, and the demo gives customers a reason to try it in the moment. When both were in place, stores reached approximately 642 units per week (Appendix, Table 2, p. 6), which made the combined effect difficult to ignore, as shown in Appendix, Table 3. What this makes clear is that visibility and interaction drive most of the increase in sales, especially when combined. We used that pattern to structure the prediction model, grounding it in how BevZ is actually experienced in-store and applying those relationships to generate expected sales and revenue under each rollout plan.

V. Comparison of Product Rollout Plans and Predicted Final Result

To determine which rollout plan offers BevZ the strongest path forward, Team Optimystics compared how well each plan drives in-store performance and translates into financial results. The following charts highlight how each plan performs at the store level, showing clear differences in pricing and allocating investment across Sales Reps, Endcaps, and Demos.



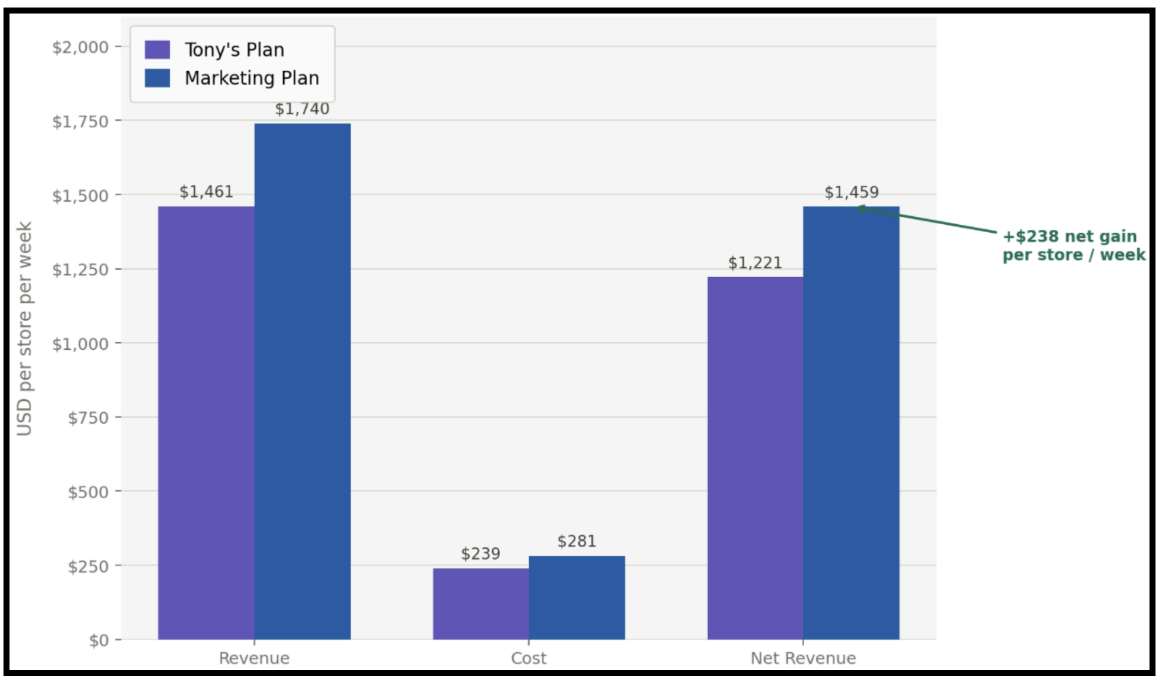


These differences are important since they reveal how each plan drives demand at the store level. In the first chart, this difference in Average Retail Price shows up immediately, where the Marketing Plan appears to perform almost twice as well. However, when you look at the actual numbers, the gap is much smaller, with the Marketing Plan coming in at roughly $3.62 compared with about $3.38 under Tony's Plan, yet still setting up the stronger result. That tells us right away that lower price is not what is driving performance here. The second chart shows where the real difference lies. Tony's Plan leans more heavily on sales representative coverage, with roughly 1,550 sales rep placements compared with about 1,500 under the Marketing Plan, but that strategy does not create the same impact. The much larger shift shows up in endcaps and demos, where the Marketing Plan rises to about 1,100 endcaps versus roughly 725 under Tony's

Plan and about 2,450 demos versus roughly 2,000. That difference is significant because these are the same areas where we saw the strongest gains in the test phase. Endcaps added about 125 units and demos added roughly 30 to 35 units, while sales representatives contributed only about 18 units on average.

The charts make that contrast easy to see. One plan leans more heavily on staffing and lower price, while the other puts more weight behind visibility and trial, which is how customers actually notice, engage with, and decide to purchase the product. By structuring the rollout around those higher-impact drivers, the Marketing Plan is better positioned to generate stronger demand at the store level. From our analysis of Tony's Plan, this approach places greater emphasis on sales representative coverage and lower pricing, creating a more controlled and lower-cost structure at the store level. However, without relying on endcaps and in-store demos, it limits how often customers naturally encounter or engage with the product while shopping. In contrast, the Marketing Plan builds directly on what we observed in the test phase by prioritizing endcaps and demos, increasing both visibility and in-the-moment interaction where we saw the strongest gains in unit sales.

When we apply the prediction model to both plans, this difference becomes clear in financial performance. The chart below compares Average Weekly Revenue, Cost, and Net Revenue per store, showing how each plan translates these in-store choices into overall results.



As you can see in the chart above, the Marketing Plan requires an additional $41 per store per week in cost, but generates $279 more in weekly revenue, resulting in a net gain of $238 per store per week. This means each additional dollar spent generates roughly six dollars in revenue. This difference comes from how each plan allocates where they chose to make their investments. Since the Marketing Plan concentrates spending on endcaps and demos, this metric consistently drives the largest increases in unit sales. In contrast, Tony's Plan relies more on sales representative coverage which contributes a smaller effect on its own. Taken together, the Marketing Plan generates stronger financial performance for BevZ. It delivers $1,459 in net revenue per store per week compared with $1,221 under Tony's Plan. By investing in the conditions that more reliably convert customer attention into purchase, it provides a more effective and scalable approach as the rollout expands.

VI. Conclusion

Based on our analysis, Team Optimystics recommends that BevZ move forward with the Marketing Plan for the next phase of the rollout. While Tony's Plan offers a lower-cost structure, it relies more heavily on sales representative coverage, which showed a smaller impact on sales during the test phase. The Marketing Plan is stronger because it builds directly on the strategies that most effectively influence customer behavior in-store, particularly endcaps and demos, which consistently drove the largest increases in unit sales. This difference matters because it reflects how customers actually encounter and decide to purchase BevZ in stores, increasing visibility and interaction rather than updating staffing only. The Marketing Plan will generate stronger overall performance for BevZ by aligning with the conditions that most reliably increase their existing customer demand. While it requires additional investment, that spend directly supports the key drivers that produce meaningful gains in sales, allowing the plan to scale more effectively across stores. For BevZ, this ultimately reinforces the Marketing Plan as the stronger choice, as it translates the lessons from the test phase into a rollout strategy that supports both higher revenue and more sustainable growth.

Appendix

Table 1: Historical Test Sales Data - Units Sold by Sales Reps

Sales Rep	Average Units Sold
No	199
Yes	291

Key Insight: Sales rep support increases sales, but the impact is modest.

Table 2: Test Scenarios Used to Build the Prediction Model

Store Setup	Average Units Sold
No In-store Support	240
Demo Only	383
End Cap Only	501
End Cap + Demo	642

Key Insight: Endcaps and demos drive the largest increases, especially when combined.

Table 3: Estimated Impact of Key Drivers on Weekly Unit Sales

Action	Change in Weekly Units Sold
Add EndCap	+125
Add Demo	+33 to +35
Add Sales Rep	+18
+$1 Price Increase	-38

Key Insight: Endcaps overall have the strongest impact on weekly units sold.